

Conservative *by* Design

What the rate on your illustration represents, what the contract guarantees regardless of that rate, and, overleaf, what these mechanics produced across the last twenty-five calendar years.

Every indexed universal life illustration in the United States is bound by the same rule. Under **Actuarial Guideline 49-B**, in effect since May 2023, no crediting option may be illustrated above a regulator-defined benchmark, and the rate must already account for any bonus interest the policy pays. What you are looking at is a regulated calculation, not a sales projection.

6.84%

ILLUSTRATED
CREDITING RATE

Life Insurance Company of the Southwest sets the maximum illustrated rate for each crediting option by applying its current caps and participation rates to every 25-year index return sequence across the past 65 years, then averaging the results.

An average is not a ceiling. Some of those windows produced less. Some produced more. In a strong index year, interest credited to a segment can exceed the illustrated rate. In a negative year, the floor holds. It describes a long horizon, never a single year.

WHAT THE CONTRACT GUARANTEES, AT ANY RATE

INTEREST CREDITING OPTION	FLOOR	MINIMUM PARTICIPATION RATE	GUARANTEED MINIMUM CAP
S&P 500 Point-to-Point, Cap Focus	0%	100% or greater	3.10%
S&P 500 Point-to-Point, Participation Focus	0%	110% or greater	3.00%
S&P 500 Point-to-Point, 1% Floor Option	1%	100% or greater	2.10%
Balanced Trend Index, Participation Focus	0%	50% or greater	No cap, guaranteed
US Pacesetter Index, Participation Focus	0%	50% or greater	No cap, guaranteed
Fixed Term Account	1.75%	Not applicable	Not applicable

Contractual minimums, not current rates. Caps and participation rates declared by the carrier today are higher and are reviewed annually. The Fixed Term Account figure is its guaranteed minimum interest rate. Balanced Trend and US Pacesetter are not available in New York.

BUILT IN, WHATEVER THE RATE

- **Annual lock-in.** Once interest is credited to a segment, a later decline in the index cannot take it back.
- **Interest bonus beginning in policy year 2.** Credited on each policy anniversary, calculated on the average accumulated value held in each crediting option over the prior year.
- **Twelve entry points instead of one.** The Systematic Allocation Rider spreads a premium across twelve monthly crediting periods rather than tying a full year to a single date, at no additional charge. Future allocations may be redirected at any time.

WHAT NO INTEREST RATE REMOVES

- Monthly deductions continue every year, including years the index credits 0%: policy fee, expense charge, cost of insurance, accumulated value charge, and any rider charges.
- A premium load of 8% applies in policy years 1 through 10 and 5% thereafter. Surrender charges apply for 10 years from issue, and again following any increase in coverage.
- Caps and participation rates are declared by the carrier and can change annually, subject to the minimums above. The policy does not participate directly in any index and receives no dividends.

The number on your illustration reflects restraint, **not the limit of the architecture**. A plan you can live with through a difficult decade is the only plan worth building.

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LIFE & ANNUITIES · RETIREMENT CONSULTING · ESTATE STRATEGY

CA Insurance License #0G52544 · NPN #13411537

FlexLife Indexed Universal Life Insurance, form series 20608(0119)/ICC19-20608(0119), the Annual Accumulated Value Enhancement (AAVE) rider, form series 20914(0823)/ICC23-20914(0823), and the Systematic Allocation Rider, form series 20431(0616)/ICC16-20431(0616), are underwritten by Life Insurance Company of the Southwest, Addison, Texas. National Life Group is a trade name of National Life Insurance Company, Montpelier, VT, Life Insurance Company of the Southwest, Addison, TX, and their affiliates. Each company of National Life Group is solely responsible for its own financial condition and contractual obligations. Life Insurance Company of the Southwest is not an authorized insurer in New York and does not conduct insurance business in New York.

Indexed universal life insurance policies do not directly participate in any stock or equity investment, and an investment cannot be made directly into an index. Monthly deductions continue to be taken

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from the accumulated value regardless of interest crediting. Policy loans and withdrawals reduce cash value and death benefit and may cause the policy to lapse if too much is taken out. Except in the case of a Modified Endowment Contract, withdrawals up to basis and loans thereafter do not create an immediate taxable event, though substantial tax ramifications could result upon lapse or surrender; for Modified Endowment Contracts, loans and withdrawals are taxable income. Values shown on any illustration are hypothetical and are not guaranteed. Past index performance does not indicate future results. Guarantees are dependent upon the claims-paying ability of the issuing company. Please consult your own tax professional regarding your situation.

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What the Floor *Actually* Did

The most recent twenty-five full calendar years, with today's declared caps and participation rates applied. The window spans the dot-com collapse, the global financial crisis and housing crash, the 2020 pandemic shock, and the 2022 drawdown.

7 of 25

Years the index finished flat or lower. The zero percent floor credited zero. Never a loss.

-38.49%

The worst year in the window, 2008. Interest credited to the Cap Focus strategy that year: 0.00%.

7.00% vs 6.80%

Cap Focus twenty-five year average against the index growth rate average. Both compound annual rates.

HYPOTHETICAL RETURNS BY STRATEGY, 2001 THROUGH 2025 · ALL INDEXED STRATEGIES ARE S&P 500 POINT-TO-POINT

YEAR	S&P 500 INDEX GROWTH RATE	CAP FOCUS Cap 11.00% · Par 100%	PARTICIPATION FOCUS Cap 8.25% · Par 140%	1% FLOOR Cap 8.50% · Par 100%	INDEXED LOAN ACCOUNT Cap 9.50% · Par 100%
2001	-13.04%	0.00%	0.00%	1.00%	0.00%
2002	-23.37%	0.00%	0.00%	1.00%	0.00%
2003	26.38%	11.00%	8.25%	8.50%	9.50%
2004	8.99%	8.99%	8.25%	8.50%	8.99%
2005	3.00%	3.00%	4.20%	3.00%	3.00%
2006	13.62%	11.00%	8.25%	8.50%	9.50%
2007	3.53%	3.53%	4.94%	3.53%	3.53%
2008	-38.49%	0.00%	0.00%	1.00%	0.00%
2009	23.45%	11.00%	8.25%	8.50%	9.50%
2010	12.78%	11.00%	8.25%	8.50%	9.50%
2011	0.00%	0.00%	0.00%	1.00%	0.00%
2012	13.41%	11.00%	8.25%	8.50%	9.50%
2013	29.60%	11.00%	8.25%	8.50%	9.50%
2014	11.39%	11.00%	8.25%	8.50%	9.50%
2015	-0.73%	0.00%	0.00%	1.00%	0.00%
2016	9.54%	9.54%	8.25%	8.50%	9.50%
2017	19.42%	11.00%	8.25%	8.50%	9.50%
2018	-6.24%	0.00%	0.00%	1.00%	0.00%
2019	28.88%	11.00%	8.25%	8.50%	9.50%
2020	16.26%	11.00%	8.25%	8.50%	9.50%
2021	26.89%	11.00%	8.25%	8.50%	9.50%
2022	-19.44%	0.00%	0.00%	1.00%	0.00%
2023	24.23%	11.00%	8.25%	8.50%	9.50%
2024	23.31%	11.00%	8.25%	8.50%	9.50%
2025	16.39%	11.00%	8.25%	8.50%	9.50%
25 YEAR AVERAGE	6.80%	7.00%	5.60%	5.90%	6.20%

Shaded years are those in which the index finished flat or lower. Twenty-five year figures are compound annual rates.

THE CAP GAVE UP MORE THAN THE FLOOR SAVED

Across the 14 years the index rose above the cap, the strategy forfeited **132.01 percentage points** of raw upside. Across the 6 years it fell, the floor avoided **101.31 points** of loss. In a straight line, the cap cost about thirty-one points more than the floor saved.

Compounded, the order reverses. Over the 25 years the index growth rate averaged **6.80%** a year. The Cap Focus strategy averaged **7.00%**.

WHY AN AVERAGE IS NOT A STRAIGHT LINE

A loss does more damage than an equal gain repairs. Climbing back from the 38.49% decline of 2008 took a gain of more than 62% just to reach even. Nothing was lost in 2008, so nothing had to be recovered the year after.

Crediting is measured one calendar year end to end. The index fell sharply in early 2020 and recovered before December, so the pandemic decline never became a negative crediting year.

Seven quiet years bought twenty-five good ones. *That is what you are buying*, and it is why we illustrate an average rather than a good year.

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Accompanying illustration dated _____

Source: the Indexed Strategies Disclosure of the accompanying FlexLife illustration. Historical rates are determined by applying current Cap, Participation and Floor Rates to the most recent 25 full calendar years of actual historical index performance. These values are hypothetical and do not represent the actual interest that would have been credited during those periods, because the Cap and Participation Rates then in effect would have differed from current rates. Returns shown by strategy do not reflect policy charges, including cost of insurance, policy fees, expense charges, or other deductions, all of which will reduce policy values. Historical performance is not a representation of past or future performance, nor an indication of the returns a policyholder can expect, and is not indicative of future returns.

The S&P 500 Index Growth Rate column reflects change in the index level and does not include reinvested dividends. Caps and participation rates shown are those declared as of the date of the accompanying illustration; they are reviewed annually and will change. The Indexed Loan Account column applies to value held as collateral for a Participating Fixed Loan. No returns are shown for strategies with less than ten years of history: the US Pacesetter Index launched December 10, 2021 and the Balanced Trend Index launched November 20, 2017, so neither appears above. This twenty-five year lookback is a different and shorter calculation than the maximum illustrated rate described on page one.

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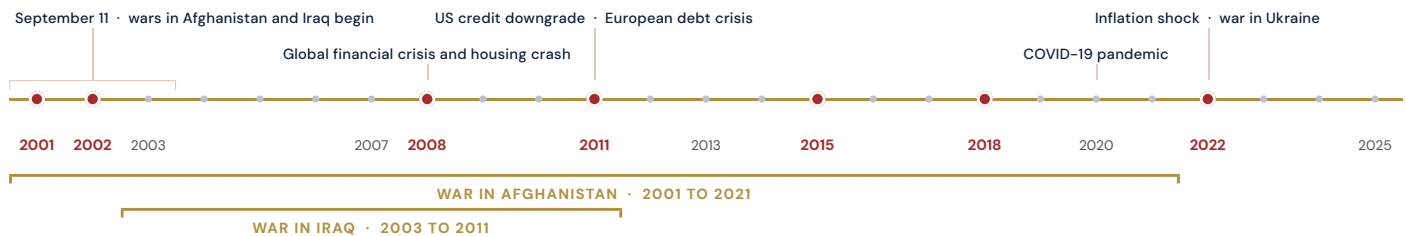
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The Power of the 0% Floor

Strength is not only what happens in the good years.
 It is what you do not lose in the bad ones.

This is not a laboratory. It is lived history: September 11 and the two long wars that followed, the dot-com collapse, the global financial crisis and housing crash, a European debt crisis, a pandemic, and an inflation shock. In every year the index finished flat or lower, the zero percent floor credited **0.00%** instead of the loss.

TWENTY-FIVE YEARS OF LIVING THROUGH IT



How the Strategies Responded in Stress Years

Year	S&P 500® Index Growth Rate	S&P 500® Pt-to-Pt Cap Focus	S&P 500® Pt-to-Pt Participation Focus	S&P 500® Pt-to-Pt ✓ 1% Floor	Indexed Loan Account, S&P 500® Pt-to-Pt Cap Focus
2001	-13.04%	0.00%	0.00%	1.00%	0.00%
2002	-23.37%	0.00%	0.00%	1.00%	0.00%
2008	-38.49%	0.00%	0.00%	1.00%	0.00%
2011	0.00%	0.00%	0.00%	1.00%	0.00%
2015	-0.73%	0.00%	0.00%	1.00%	0.00%
2018	-6.24%	0.00%	0.00%	1.00%	0.00%
2022	-19.44%	0.00%	0.00%	1.00%	0.00%

2001 and 2002 were consecutive losing years. Each credited 0.00%, so there was no compounding hole to climb out of when 2003 gained 26.38%.

Declared rates on the accompanying illustration: Cap Focus cap 11.00%, participation 100% · Participation Focus cap 8.25%, participation 140% · 1% Floor cap 8.50%, participation 100% · Indexed Loan Account cap 9.50%, participation 100%.



Avoiding the deep holes

A steep decline does lasting damage. When the index fell 38.49% in 2008, the strategy was credited 0.00%. There was no hole to climb out of the following year.



Staying in the plan

People rarely abandon a plan because a good year was modest. They abandon it because a bad year frightened them. A floor makes a long plan easier to keep.



Under-promising on purpose

Your illustration is run at 6.84%. The lookback above, under today's rates, produced 7.00%. Neither number is a prediction. Building the plan on the lower one is the whole discipline.

Two wars. Two market collapses. A pandemic and an inflation shock. **Seven years when the floor did the work.** The Cap Focus average across all of it: 7.00% a year.

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All strategy figures are taken from the Indexed Strategies Disclosure of the accompanying FlexLife illustration and are reproduced on page two in full. Historical rates are determined by applying current Cap, Participation and Floor Rates to the most recent 25 full calendar years of actual historical index performance. These values are hypothetical and do not represent the actual interest that would have been credited during those periods, because the Cap and Participation Rates then in effect would have differed from current rates.

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